Advanced Assurance Workshop 3

Welcome to Class



Introduction

Expectations for the day

- Third AA workshop – ask questions throughout the day
- You should have completed Modules 7 – 9 on your own prior to class
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Morning break – 15 mins
- Lunch – 1 hour
- Afternoon break – 15 mins

Introduction

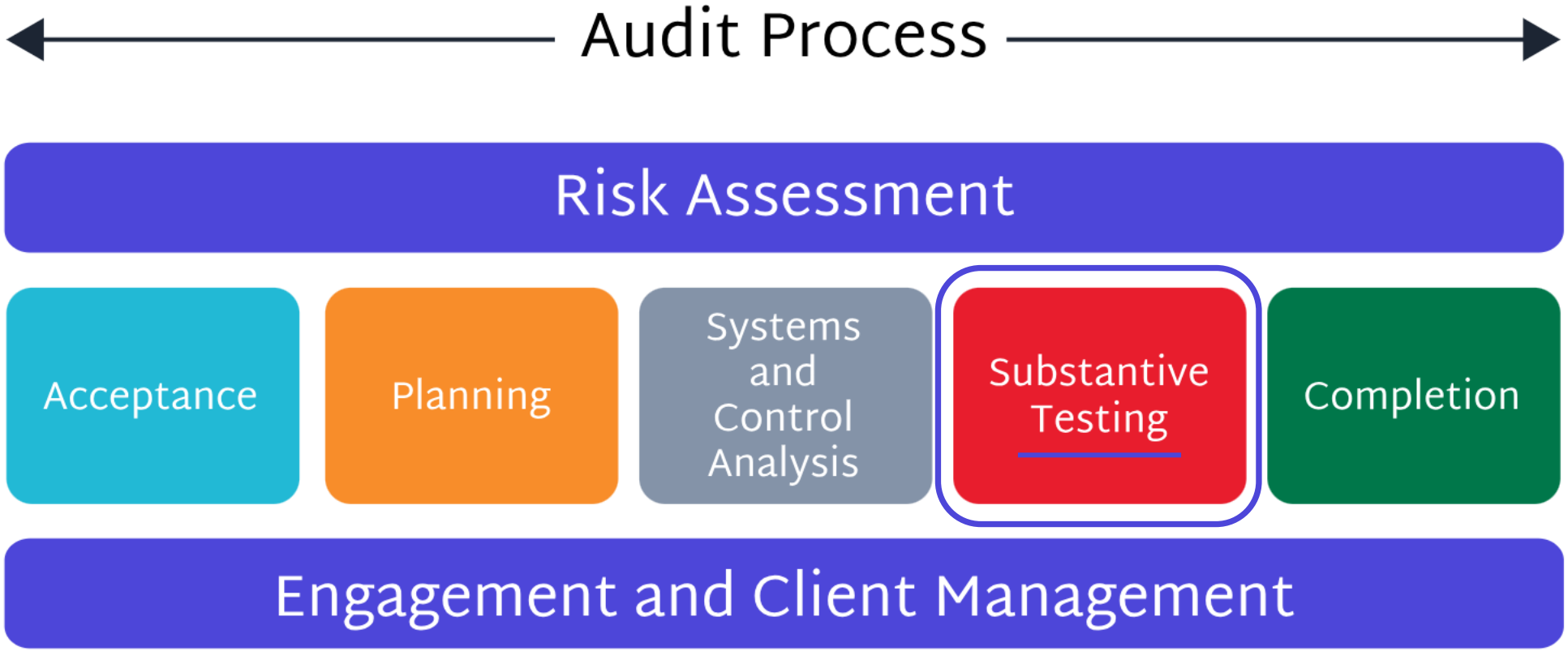
Modules covered so far

- Module 1: Professional Ethics
- Module 2: Evaluating Data Integrity
- Module 3: Audit Acceptance and continuance
- Module 4: Audit Planning
- Module 5: Specific Risk areas and the Impact on the Audit
- Module 6: Internal Controls Testing

Modules covered in this workshop

- Module 7: Substantive Analytical Procedures
- Module 8: Substantive Procedures – Part 2
- Module 9: Substantive Procedures – Part 3

Stages of the audit



Recap of substantive testing



It’s quiz time….

Thinking back to ASR and Modules 7-9… Let’s test your knowledge

Name the testing technique

1. Audit senior discusses the policy around allowances for doubtful debts with the financial controller of the audit client.

??

2. A representation has been obtained directly from legal counsel regarding the status of legal cases which the audit client is involved in.

??

3. Through ADA, the audit team have verified the arithmetical accuracy of all payroll reconciliations performed by the audit client.

??

Inspection
Confirmation
Analytical procedures
Recalculation
Enquiry

Name the testing technique

1. Audit senior discusses the policy around allowances for doubtful debts with the financial controller of the audit client.

Enquiry

2. A representation has been obtained directly from legal counsel regarding the status of legal cases which the audit client is involved in.

Confirmation

3. Through ADA, the audit team have verified the arithmetical accuracy of all payroll reconciliations performed by the audit client.

Recalculation

Name the assertion

1. Balances and transactions have been recorded in the proper accounts.

??

2. Balances and transactions (and related disclosures) that should have been recorded have been recorded.

??

3. Transactions and events have been recorded in the correct accounting period.

??

Balances:
Existence; Completeness; Accuracy, valuation & allocation; Classification; Rights & obligations; Presentation

Transactions:
Occurrence; Completeness; Accuracy; Classification; Cut-off; Presentation

Name the assertion

1. Balances and transactions have been recorded in the proper accounts.

Classification

2. Balances and transactions (and related disclosures) that should have been recorded have been recorded.

Completeness

3. Transactions and events have been recorded in the correct accounting period.

Cut-off

Existence vs Completeness
Directional testing

Evidence ----→ Listing = Test of Completeness

Listing ------→ Evidence = Test of Existence/Occurrence

- Remember, where we have decreasing items, we will have to reverse the directional testing rule.
- For example, credit notes; PPE disposals; payments when testing payables and receipts when testing receivables

Existence/Occurrence vs Completeness
Directional testing

Inventory		
Floor	------→	Sheet
Sheet	------→	Floor
Receivables		
Sales invoice & GDN	------→	YE receivables listing
YE receivables listing	------→	Sales invoice & GDN
Payables		
YE payables listing	------→	Purchase invoice
Purchase invoice listing	------→	YE payables listing
Bank		
Cashbook	------→	Bank statement
Bank statement	------→	Cashbook
Revenue		
Sales invoice & GDN	------→	Sales listing
Sales listing	------→	Sales invoice & GDN

Existence/Occurrence vs Completeness
Directional testing

Inventory				
	Floor	------→	Sheet	Completeness
	Sheet	------→	Floor	Existence
Debtors				
	Sales invoice & GDN	------→	YE debtors listing	Completeness
	YE debtors listing	------→	Sales invoice & GDN	Existence
Creditors				
	Purchase invoice	------→	YE creditors listing	Existence
	YE creditors listing	------→	Purchase invoice	Completeness
Bank				
	Bank statement	------→	Cashbook	Existence
	Cashbook	------→	Bank statement	Completeness
Revenue				
	Sales invoice & GDN	------→	Sales listing	Completeness
	Sales listing	------→	Sales invoice & GDN	Occurrence

Increasing or decreasing?

Need to pay close attention not just to the **nature of the evidence**, but also **which account** you are testing.

1. Testing **trade receivables**. Evidence is **credit note**.

2. Testing **PPE**. Evidence is a **title deed** to a property.

3. Testing **trade payables**. Evidence is **a goods despatch note**.

4. Testing cash sales. Evidence is a **cash receipt** shown on **bank statement**.

Increasing or decreasing?

1. Testing **trade receivables**. Evidence is **credit note**.
Decreasing (Dr Credit sales **Cr Trade receivables**) when sale cancelled for returned goods

2. Testing **PPE**. Evidence is a **title deed** to a property.
Increasing (**Dr Property** Cr Cash) when title deeds transferred

3. Testing **trade payables**. Evidence is **a goods despatch note**.
Decreasing (**Dr trade payables** Cr Purchases) when goods returned to supplier

4. Testing cash sales. Evidence is a **cash receipt** shown on **bank statement**.
Increasing (Dr Cash **Cr Cash Sales**) when selling goods for cash

Module 7
Substantive Analytical Procedures

Substantive analytical procedures/review

- Commonly used where the auditor can place reliance on an entity's internal controls
- Common techniques: reasonableness tests, trend analysis and large and unusual items review
- Auditor will develop an **expectation**
- Results can be **compared** to the expectation
- Investigation of variances over a set **threshold** – tolerable error
- **Concluding** whether sufficient, appropriate evidence has been obtained

Substantive analytical procedures/review

Analytical review - comparison

	Planning	Substantive	Completion
When?	Normally pre-year end	Substantive testing stage	'Near the end of the audit'
What?	Normally management accounts (part-year)	Draft financial statements	Financial statements that are close to approval
Why?	To identify RoMM (and thus drive planning)	To detect material misstatements	To 'assist the auditor when forming an overall conclusion'
Must we?	YES	NO	YES

Substantive analytical review
Assessment approach

Depending on the requirement, you may be expected to:

1. Calculate the **expectation**.

2. **Compare** the expectation to what is actually recorded, assessing whether the difference is below the **accepted deviation** or whether **further procedures** are required

3. **Conclude** on which items require further investigation

4. **Analyse** the possible reasons for significant deviations

5. **Design** any required follow-up procedures (Module 8)

Substantive analytical review
Illustrative example wording

QUESTION A

Using substantive analytical procedures, analyse the finance income and expenses for the year, advising whether each balance is reasonable or if any further audit work is required.

QUESTION B

Analyse the potential reasons for any variances between the expected and actual finance income and expenses.

Group Activity

Substantive analytical review

AA Workshop 3



Substantive Analytical Review Practice Question

‘FM’

Substantive analytical review – 'FM'

Requirement 1:

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Perform a **substantive analytical review** to evaluate the reasonableness of FM's reported revenue

- Use information in Appendix
- Bear in mind accounting treatments for revenue recognition
- Compare expectations against actuals and note any variances
- Conclude which balances require further investigation, based on tolerable error stated in the question

Tutor debrief – Requirement 1

Substantive analytical review – 'FM'

Requirement 2:

Analyse the potential **reasons for variance** between the expected and actual amounts reported for each category of revenue and **recommend further procedures** to corroborate the reasons for any identified variances.

- Anything from question/your understanding of accounting for revenue to suggest WHY there is a variance?
- What audit procedures could you perform in light of this? Bear in mind preference for more reliable evidence.

Tutor debrief – Requirement 2

Module 8 & 9
Substantive procedures

Substantive procedures

Module 8

- Designing test of detail substantive procedures
- Designing a substantive testing audit work programme

Module 9

- Performing substantive procedures
- Audit sampling
- Outstanding audit matters

Recap of test of details



It’s quiz time….

Thinking back to Modules 8 and 9… Let’s test your knowledge

Which assertion is being tested?

1. Select a sample of WIP inventory items from the year-end inventory listing and inspect/verify the final finished product post-year-end.

??

2. Recalculate the lease calculations for a new lease with reference to the lease contract, bank statements for payments made and IFRS 16 Leases.

??

3. Select a sample of share certificates (or other investment records) held by the entity and vouch to the investment listing to verify that these have been included

??

Which assertion is being tested?

1. Select a sample of WIP inventory items from the year-end inventory listing and inspect/verify the final finished product post-year-end.

Existence

2. Recalculate the lease calculations for a new lease with reference to the lease contract, bank statements for payments made and IFRS 16 Leases.

Accuracy, valuation & allocation

3. Select a sample of share certificates (or other investment records) held by the entity and vouch to the investment listing to verify that these have been included

Completeness

Which assertion is being tested?

4. Agree test counts performed at the year-end inventory count and copies of the audited entity's inventory count sheets to the detailed inventory listing and investigate all differences.

??

5. Recalculate the interest charged to the statement of profit or loss for a bank loan, with reference to the interest rate stated in the loan agreement.

??

6. Review the disclosure of derivative balances included in the financial statements and verify these are in line with applicable accounting standards

??

Which assertion is being tested?

4. Agree test counts performed at the year-end inventory count and copies of the audited entity's inventory count sheets to the detailed inventory listing and investigate all differences.

Completeness

5. Recalculate the interest charged to the statement of profit or loss for a bank loan, with reference to the interest rate stated in the loan agreement.

Accuracy

6. Review the disclosure of derivative balances included in the financial statements and verify these are in line with applicable accounting standards.

Presentation

Designing a test of detail

When designing a test of detail make sure you include:

1. **Verb** – this is your testing technique (enquire, inspect, recalculate, confirm)
2. **Population** – this is the population the sample is being selected from
3. **Evidence** – this is the evidence you want the sample to be agreed to
4. **Activity** – this is what you are actually looking to confirm

Considering this, **design a procedure to test the completeness of trade receivables**.

Completeness of receivables

Examples

1 2

Inspect, for a sample of **sales invoices issued in the final month of the year**, the **YE receivables listing** to **confirm if they have been included**.

3 4

2 1

For a sample of **post year end cash receipts**, **inspect** the **YE receivables listing** to **confirm that a corresponding receivable is included**.

3 4

1 - Verb = testing technique
2 - Population = where you are picking the sample from
3 - Evidence = what you want to see
4 - Activity = what you are looking to confirm

Designing and performing a substantive audit work programme

When designing a substantive testing programme, the auditor may use the following considerations.

- **Risk of material misstatement (ROMM)** – the audit will refer to the audit risk assessment performed at planning and assess the ROMM. This determines the area to focus testing on, the quantity of testing to be performed and the relevance and reliability of the evidence to be gathered.
- **Approach** – this may involve testing the movements which give risk to the balance or testing the closing balances directly.
- **Accounting policies** – the auditor needs to understand the requirements of the accounting standards in relation to a particular account, and the accounting policies applied by the audited entity
- **Assertions** - some assertions are higher risk than others and as a result, the nature, timing and extent of substantive procedures in relation to these assertions will need to be adjusted
- **Common procedures** – procedures which are frequently used by auditors for a particular account
- **Standard tests** – these involve agreeing opening balances to prior year audited financial statements (P&L accounts should be 0); casting supporting schedules and confirming that the closing balances of the supporting schedules agree to the trial balance and final financial statements

Group Activity

Substantive audit work programme

AA Workshop 3



Substantive audit work programme
Activity – Step 1

Review the document called ‘PPE audit work programme’

Discuss and agree **which assertion(s)** are addressed by each test

Discuss your evaluation of the programme:

- The **individual** tests (are they clearly written audit procedures?)
- Your **overall** evaluation - bearing in mind that assurance is needed over all relevant assertions.

Tutor debrief

Substantive audit work programme
Activity – Step 2

Perform the tests set out (as amended!), using the various documents on Advantage

Remember purpose of substantive testing is to **identify misstatements**

Where misstatements are found:

- Consider whether they are **material**
- Remember importance of **extrapolating** from sample to effect on population

Tutor debrief

PPE audit work programme

1. **ROMM**
- A key focus for PPE is often valuation due to complexity and judgement
- Higher ROMM assertions - AVA

2. **Approach – test the movements**
- Additions
- Disposals
- Depreciation
- Revaluations - *not relevant in this example*
- Impairments - *not relevant in this example*
- Also consider leased assets and 'Own Work Capitalised' - *not relevant in this example*

3. **Accounting policies**
- The cost includes its purchase price, import duties, non-refundable VAT, and costs directly attributable to bringing the asset to the final location and condition and is net of discounts or refunds.
- Annually, the value is measured at cost less accumulated depreciation and accumulated impairment losses.

4. **Assertions** – R&O, E, C, CI, AVA, P

Other substantive audit work programme considerations

Trade receivables audit work programme

1. **ROMM**
- A profit-making entity will want to present a strong balance sheet and may overstate assets
- Higher ROMM assertions - E, AVA
2. **Approach** – test the closing balance
- Due to high volume of movements
3. **Accounting policies** – trade receivables should only be recorded as an asset if it is believed that the balance will be recoverable. Accounting impacted by:
- Invoice raised on dispatch of goods
- Cash received
- Provisions/write-down
- Discounts
- Credit notes
- Foreign currency translation
4. **Assertions** – R&O, E, C, CI, AVA, P

Trade receivables audit work programme

Procedure	Assertions tested
Trade receivable circularisation	Existence, classification and rights and obligations
Subsequent cash testing	Existence, rights and obligations and accuracy, valuation and allocation
Review of aged trade receivables report	Accuracy, valuation and allocation
Evaluation of reasonableness of policy relating to the allowance for doubtful debt	Accuracy, valuation and allocation
Review of post year end credit notes	Existence; accuracy, valuation and allocation

Inventory audit work programme

1. **ROMM**
- A profit-making entity will want to present a strong balance sheet and may overstate assets
- Higher ROMM assertions - E, AVA
2. **Approach** – test the closing balance
- Must gain assurance over the quantity and value
3. **Accounting policies** – inventory must be measured at the lower of cost and net realisable value (NRV). Consider:
- quantity of inventory held
- components of inventory
- whether inventory valuation complies with IAS 2
- NRV
4. **Assertions** – R&O, E, C, CI, AVA, P

Inventory audit work programme

Procedure	Assertions tested
Test counts to final inventory records	Sheet to floor – Existence Floor to sheet – Completeness
Cut-off testing	Completeness and existence
Cost vs NRV testing	Accuracy, valuation and allocation
Testing the inventory provision	Accuracy, valuation and allocation

Bank and cash audit work programme

1. **ROMM**
- Will depend on nature of audited entity
- Consider susceptibility to theft, volume of bank accounts, incorrect netting of overdrafts
- Higher ROMM assertions - E, C, P

2. **Approach** – test the closing balance
- Obtain third-party evidence from audited entity's bank

3. **Accounting policies**
- Any right of set-off

4. **Assertions** – R&O, E, C, CI, AVA, P

Bank and cash audit work programme

Procedure	Assertions tested
Testing the year-end bank reconciliation	All balance sheet assertions (except presentation)
Testing the bank confirmation letter	All balance sheet assertions (except presentation)
Physical verification of material cash balances	Existence; accuracy, valuation and allocation
Verifying foreign currency rates used for FX accounts to independent sources, and recalculating the translation	Accuracy, valuation and allocation

Trade payables audit work programme

1. **ROMM**
- Due to impact of liabilities on the balance sheet, completeness, classification and presentation are high-risk
- Higher ROMM assertions - C, CI, P
2. **Approach** – test the closing balance
- Due to high volume of movements
3. **Accounting policies** – considerations include:
- A liability should be raised when inventory is received
- Once an invoice is received, a trade payable is recognised and (if relevant) the GRNI accrual removed
- Cash payments reduce the trade payables balance
- The valuation of the liability should be based on an estimate of the expected cash outflow. Therefore, the value of creditors should be adjusted for any discounts the client is entitled to as this will impact the cash outflow
- Credit notes received will reduce the trade payables/GRNI balance
- Foreign currency balances should be restated at the year-end exchange rate
4. **Assertions** – R&O, E, C, CI, AVA, P

Trade payables audit work programme

Procedure	Assertions tested
Creditor's circularisation	Completeness; existence; accuracy, valuation and allocation; classification and rights and obligations
Supplier statement reconciliations	Completeness; existence; classification; and rights and obligations
Search for unrecorded liabilities	Completeness
Inspection of GRNs pre and post year end	Existence / completeness

Substantive testing - design
Assessment approach

For designing tests of detail

- Document the procedure considering **verb** (eg enquiry, inspection, recalculation, confirmation), **population**, **evidence** and **activity**.

It is important that you understand what assertion you are addressing with any test you design. Some questions may only ask for testing of certain assertions or certain aspects of the balance. No matter how well -worded a test is, if it doesn't address the assertion required in the question it will gain no marks.

For designing substantive audit work programmes

When designing a substantive audit work programme use the following considerations to help you design a variety of substantive procedures:

- Risk of material misstatement (ROMM)
- Approach
- Accounting policies
- Assertions
- Common procedures
- Standard Tests

Consider whether the tests you have provided are reliable and address all relevant risks and assertions. You should also consider whether the procedures include all evidence available.

Substantive testing - design
Illustrative example

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Design the further substantive procedures that should be performed in order to complete the outstanding work on the [named accounts] sections.

Substantive Testing Practice Question

‘Glama’

Substantive testing - design
'Glama'

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List procedures to substantively test the operational staff payroll at Glama for the year ending 30 June 20X1

Plan/tailor to scenario before writing anything:

- Risk of material misstatement (ROMM)
- Approach
- Accounting policies
- Assertions
- Common procedures
- Standard tests

Tutor debrief

Substantive testing – Auditing Derivatives
Activity

FRW Limited is a company which is based in the United Kingdom. During the year ended 31 October 20X4 it moved away from using its main supplier, which was also UK based, to a supplier in Europe which it perceived to offer better value for money.

The European supplier requires its invoices to be settled in euros which has exposed FRW to exchange rate risk. On 1 October 20X4, the board of directors entered into a forward contract to purchase €5 million at a rate of £1: €1.14. At 31 October 20X4 the exchange rate was £1: €1.08.

Prepare a list of five tests to audit the above balance.

(Note: This is not a designated hedging arrangement as this is outside the scope of the CA qualification).

Substantive testing – Auditing Derivatives
Solution

- Obtain a copy of the forward contract and vouch the amount of €5 million and the rate of €1.14 to determine whether the details of the forward contract are accurate and that the contract is held by FRW
- Agree the exchange rate of €1.08 to the financial press to determine that the correct spot rate at 31 October 20X4 has been used
- Recalculate the **gain*** on the forward contract at 31 October 20X4 to determine whether this has been calculated accurately. Investigate any significant differences
- Trace the journal entries used to account for the fair value adjustment at the period end to the financial statements to ensure that the gain has been recognised through profit or loss
- Review board minutes for evidence of any new financial instruments/derivatives entered into during the period that may require disclosure in the financial statements
- Complete a disclosure checklist to ensure disclosures are in line with required accounting standards and company law

*Note: At 31 October 20X4, the spot rate of €1.08 gives FRW a cost of £4,629,630 (€5m ÷ 1.08). However, under the terms of the forward contract FRW would need to pay £4,385,965 (€5m ÷ 1.14), therefore the contract is standing at a gain of £243,665. The derivative would be held as an asset in the financial statements at this fair value.

Substantive Testing Practice Question

‘Bikes’

Tutor debrief

Substantive testing: Roll-forward procedures

Often used when testing current assets and liabilities. Options for testing these:

1. Test movements in the reporting period. Very inefficient as there are lots of movements!

2. Test year-end balance (eg: a circularisation or attending inventory count). Much more efficient but may be impractical to carry this out exactly at period-end.

3. Compromise with roll-forward procedures.

Substantive testing: Roll-forward procedures



‘Snapshot’ – test the BALANCE at an interim date eg: circularisation

YEAR END

Roll forward – complete testing by focusing more on MOVEMENTS in the dates between interim date and year end

Substantive testing: Roll-forward procedures

Common roll-forward procedures

1. Analytical review of movements in the roll-forward period vs expectation eg: budget, prior year.
2. Inspect ledger to identify and investigate any unusual transactions in roll-forward period
3. Tests of detail of a sample of movements in the roll-forward periods. Eg: for payables this would include testing GRNs, cash payments to suppliers, and credit notes
4. Testing of any year-end reconciliations, including a sample of reconciling items

Substantive testing - perform
Assessment approach

For performing substantive procedures

1. Perform a high-level review of the question including the requirement and appendices
2. Identify if you are required to design substantive procedures as well as perform them
3. Perform the substantive procedures and identify any issues requiring further investigation
4. Document your findings including any conclusions or follow-up procedures required

Group Activity

Audit sampling

AA Workshop 3



Audit sampling
Selecting balances to sample – trade payables

Supplier	Balance as at YE 31 December 20X4	Balance as at 30 November 20X4
Supplier A	£50,000	£40,000
Supplier B	£9,000	£38,000
Supplier C	£2,000	£2,200
Supplier D	(£8,000)	£8,000
Supplier E	£12,000	£0
Supplier F	£500	£400
Supplier G	£3,000	£2,000

Notes

- Overall materiality for the audit has been set at £10,000
- Supplier B has been the largest supplier for the audited entity for the last three years
- Supplier G is the audited entity's main supplier of computer equipment

Audit sampling
Selecting balances to sample – trade payables

Supplier	Balance as at YE 31 December 20X4	Balance as at 30 November 20X4
Supplier A	**£50,000**	**£40,000**
Supplier B	**£9,000**	**£38,000**
Supplier C	£2,000	£2,200
Supplier D	**(£8,000)**	**£8,000**
Supplier E	**£12,000**	**£0**
Supplier F	£500	£400
Supplier G	**£3,000**	**£2,000**

Balances selected

- **Supplier A** – this supplier has a large balance (above overall materiality)
- **Supplier B** – this supplier had a large balance at 30 November and has historically been a large supplier
- **Supplier D** – this supplier has a debit balance
- **Supplier E** – this supplier has a balance above overall materiality which appears to have arisen in the last month of the year
- **Supplier G** – this has been a supplier of fixed assets, therefore balance may be inappropriately classified

Outstanding matters

While most of the audit work is normally completed during the ‘final audit visit’, it is often the case that there are **outstanding matters** that the audit team will need to follow up and conclude before the audit report can be issued.

Examples of outstanding matters may include:
- Evidence not yet provided by the audited entity
- Missing evidence
- Evidence received after the conclusion of the final audit visit
- Ongoing matters that may affect the financial statements.

In the assessment, you may be asked to assess various outstanding matters from an audit and to **evaluate** each matter. You may also be asked **to design further audit procedures** to assist in resolving the matter

Outstanding matters
Assessment approach

For outstanding matters questions:

1. Discuss the matter and why it is relevant to the audit. Look out for information in the scenario, such as materiality, to help you determine whether the matter is material and would impact the results of the audit ie: the audit report.

2. Depending on the requirements set out, may need to design further procedures to resolve matter.

Outstanding matters
Illustrative example wording

For outstanding matters questions:

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QUESTION A – Evaluate each of the outstanding matters noted in Appendix 1 explaining any impact on the financial statements.

QUESTION B – Design audit procedures to gather audit evidence to resolve each of the outstanding matters.

Outstanding Matters Practice Question

‘Pamper’

Outstanding matters – ‘Pamper’

Evaluate the outstanding matters presented, analysing why each is an issue and recommend what further audit procedures, if any, will be required

Outstanding matters – ‘Pamper’

In August 20X9, Pamper received notification from HMRC of an investigation into allegations that it was not paying the correct National Minimum Wage to a significant number of reception, restaurant and golf shop staff at its resorts. The investigation is complete, however, HMRC has not yet issued its report.

The finance director has met with HMRC and based on those discussions, understands that HMRC is likely to assert that staff have been underpaid, in which case Pamper will be liable to a payment of £410,000 in unpaid wages, employer taxes and penalties. Management have refused to accept the HMRC presentation of the case, or the estimate, and have not accounted for any related costs in the financial statements.

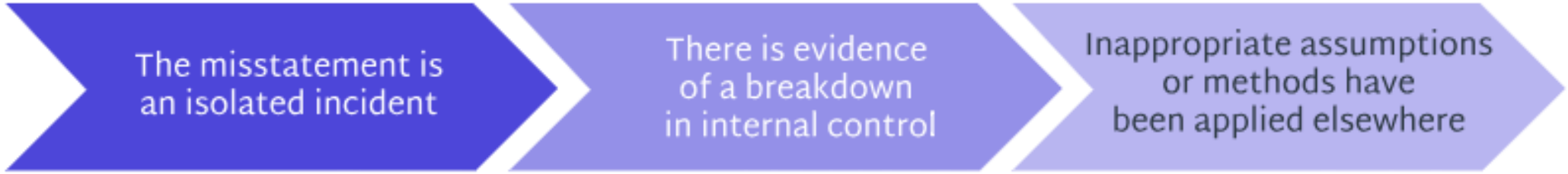
Outstanding matters – ‘Pamper’

	Evaluation of issue	Further substantive procedures
1.	The underpayment of the National Minimum Wage to staff is material and, based on HMRC’s reported stance, Pamper may be liable for a material amount. **(1 mark)** If Pamper does not make the appropriate provision, then liabilities and expenses will be understated. **(1 mark)**	Review correspondence with HMRC, regarding its assessment of likelihood of liability. **(1 mark)** Obtain written confirmation from Pamper’s legal counsel *(alternatively, could obtain the advice of an auditor’s expert)* regarding their view as to the likely outcome and their estimate of the related financial exposure, including penalties. **(2 marks)**

Tutor debrief

Recording and considering misstatements

- **Summary of Audit Misstatements (SAM)** – a record of all misstatements identified, excluding those that are clearly trivial.
- SAM contains whether misstatements are **material**, whether misstatements are **adjusted**, and a **summary and conclusion** of unadjusted differences.
- The auditor needs to consider the potential impact of any **uncorrected items** to ensure that these in aggregate do not result in a risk of material misstatement to the financial statements.
- Consider whether:



Communicating misstatements

- The auditor requests that an entity's **management correct all misstatements** before the financial statements are issued.

- The auditor should also communicate with **those charged with governance** that there are **uncorrected misstatements** and the effect that they, individually or in aggregate, may have on the opinion in the auditor's report.

Misstatement questions
Assessment approach

1. Is the misstatement **material** Yes/No or could it be material by nature?

2. If multiple misstatements occur in the same balance/transaction/disclosure, are they **material in aggregate**?

3. Does the item require **correction** now or could it require correction in due course?

4. Does the auditor need to perform any **further procedures**, including discussing the issue with management, to help reach a final conclusion?

5. Have you been asked to prepare a summary of audit misstatements (**SAM**)? If so, use the example format provided to you in module 9

Misstatement questions
Illustrative example wording

Prepare a summary of audit misstatements noting, where applicable, any potential adjustments arising from the outstanding matters and conclude, with explanation, on which items may require adjustment.

Wrap up

Next steps

- 1 more AA workshop.
- Before the next workshop you must cover modules 10, 11 and 12

	Workshop 4
Modules required	10, 11 & 12

Tips

- Revisit any areas where you feel less confident.
- Attempt question practice – skills builders, Zester case studies & assessment style questions.
- Post queries on the discussion board.
- Practice using permitted materials

Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Help Centre within Advantage

- Contains a lot of useful information

Any questions?

